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StoneX Strategy: The FED Rate and the Market

From the proposal of the candidate, Nico Rosamilia.

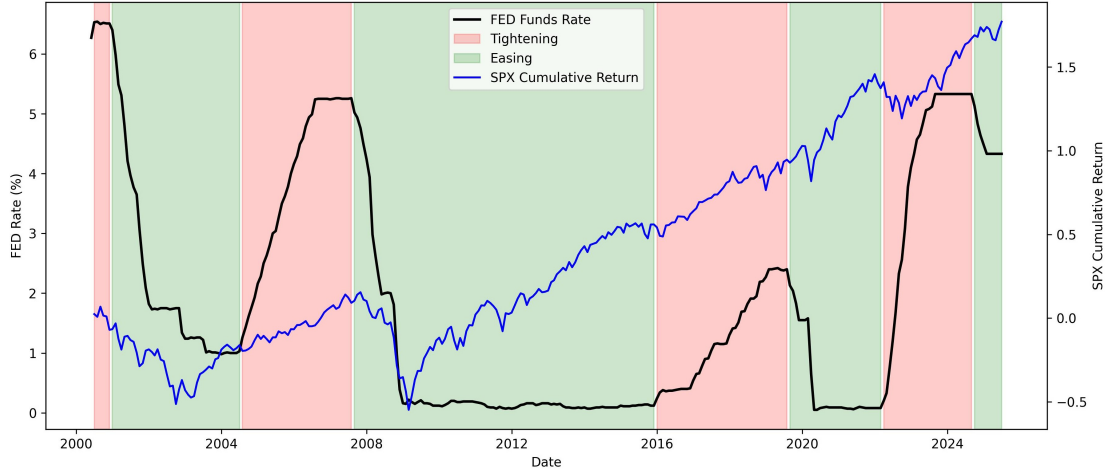
Summary: FED cycles show that prolonged easing fuels equity rallies, while earlier cuts (2000s) failed to lift markets; yield curves, especially the 2-year, anticipate tightening but poorly predict easing; SPX returns compress in tightening regimes and rise with cuts, particularly after flat periods, though prolonged easing eventually loses impact.

- **Key Point:** market reactions to Fed policy shifts are highly asymmetric. Tightening tends to compress returns with little anticipation, while easing is often anticipated by the market and leads to stronger, more persistent equity gains, especially after flat rate periods.
- **Market Signal:** An easing cycle following a flat rate period is generally anticipated 3 months in advance by the market, marking a bullish signal for equities, while tightening after a flat or falling rate environment rarely is anticipated and warns of muted or negative returns (i.e., sell at the first rate hike, not before, not after).

The FED rates cycles

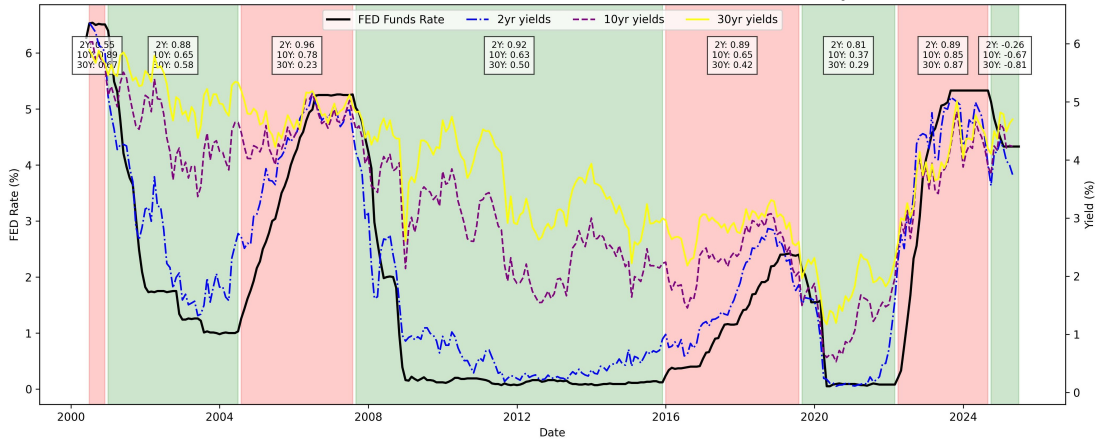
Figure 1 plots the different cycle in the last 25 years and the cumulative monthly returns of the SPX. We notice that the easing cycle of the early 2000s did not immediately created a positive returns environment for the market. On the contrary, the persistent easing and the zero lower bound between 2011 and 2016 pushed a substantial amount of liquidity in the economy, laying the foundation for the incredible rally of the last decade and a half.

Figure 1: The FED Rates Cycles and the SPX Cumulative Monthly Returns



Furthermore, Figure 2 investigates the Treasury yield curve and the FED rate cycles. Additionally, if we look at the yields differential 2yr-10yr and 10yr-30yr in Figure 3, we infer that duration decisions regarding the short-term Treasury are strictly connected to the FED cycle. Indeed, the 2yr often anticipates the FED rate movements.

Figure 2: FED Rate with Easing & Tightening Cycles and Yield Curves. The correlation boxes for the different maturities are defined for each cycle.



Therefore, we explore the correlation of the 2-year yield lagged 1, 2, and 3 months prior with the federal funds rate. Figure 4 determines the average correlation in easing and tightening for the 2-year yields and their 1, 2, and 3 months lag. It seems that the yields curve anticipate tightening almost perfectly, while it is the worst in anticipating easing. In general, it seems that the short-term yields are less sensitive to rates cuts, cycles, and their expectations.

The FED rate dynamic regime and the SPX returns

Figure 5 shows the SPX returns distribution across Fed funds rate regime changes. We explore the market moves in anticipation (3 and 1 months prior to the change) and ex-post

Figure 3: **FED Rate with Easing & Tightening Cycles and Yield Differentials**

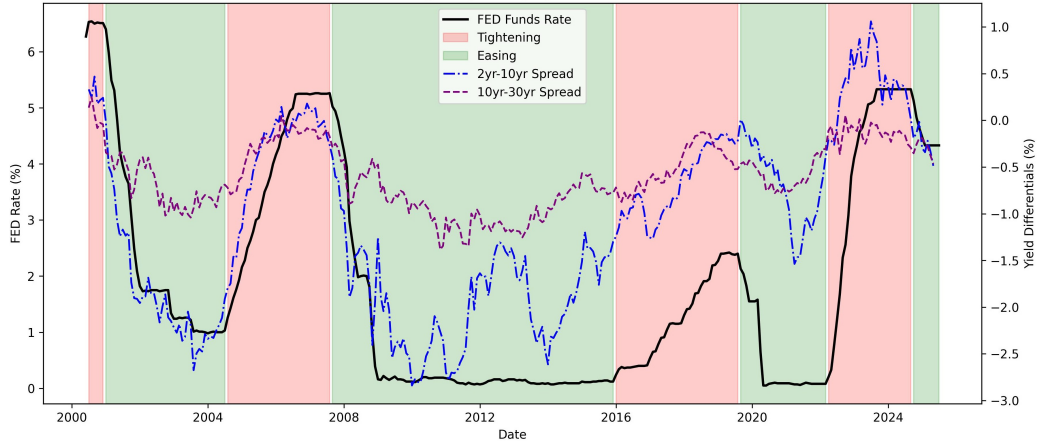
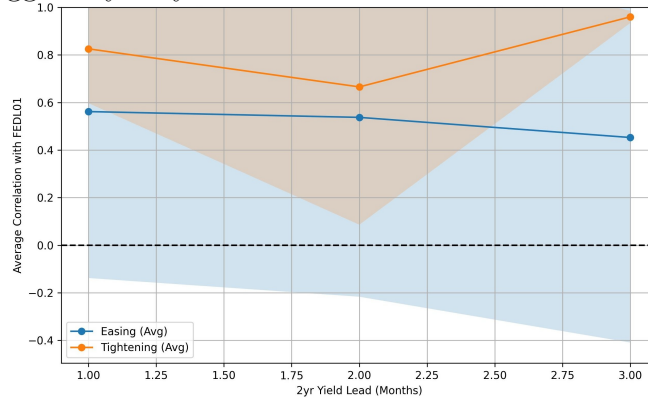


Figure 4: **The FED Rate Cycles and the 2 Years Treasury Yields.** The data considers 1, 2, and 3 months lagged 2-year yields.



(1 and 3 months after the change). We first notice that rising environment compresses returns while the opposite is true for an easing cycle with falling rates. Secondly, the market anticipation of FED rates depends on the rate environment leading to the FED move. Rate increases after a period of flat rates have a major impact in the month of the change and in the next months. In other words, it seems that the market does not react in anticipation of tightening, as we also see when rates increase after a fall (with muted market returns in the next 3 months). Conversely, we clearly see how an easing favors market returns., especially after a period of flatness, where markets anticipate the cuts and positive returns are prolonged in the 3 months after. A persistent environment of cuts (falling after falling) shows that markets have slightly negative returns, a possible indication of easing exhausting and profit taking. The frequency of regimes adds up to 99% because we are not showing the quadrants for consecutive months of flat rates growth, corresponding to 78 out of 301 months (3.85% of the time). The percentage differential ($3.85 - 1$) is capture by the regime switching, rising and falling, after flat.

Figure 5: **The FED Rate Dynamic Switches and the SPX Monthly Returns.** The table shows SPX returns distribution in a 6-month window starting 3 months before the rate change and forwarding 3 months after.

